Budget 2026: Key Highlights for Everyday Malaysians & SMEs

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Stamp Duty Exemption on Employment Contracts (Budget 2026)

From 2026, **stamp duty exemption** on employment contracts will apply to **salary thresholds up to RM3,000 per month** (previously RM300), reducing cost of doing business.

Cost of Living & Financial Aid

- **Cash Assistance for Malaysians:** A one-time **Sumbangan Asas Rahmah (SARA)** payment of **RM100** will be given to 22 million Malaysians aged 18 and above in February 2026.
- **Ongoing Monthly Support:** Nearly 9 million **Sumbangan Tunai Rahmah (STR)** recipients will continue to receive SARA aid of up to **RM100** monthly (**RM1,200** annually). Meanwhile, 1 million e-Kasih households will get up to **RM200** monthly (**RM2,400** yearly).
- **Household & Individual Benefits:** Single individuals receive **RM600**, while lower-income families can receive up to **RM4,600** annually through combined STR and SARA aid.
- **Contract retirees** under KEMAS to receive a monthly allowance increase from **RM300 to RM500**.
- **Vehicle scrappage incentive:** Malaysians replacing cars over 20 years old with a new national car will get a matching grant of up to **RM4,000**.
- **Paddy farmers and agropreneurs:** RM2.62 billion allocated for farming subsidies and mechanisation support, with RM1.1 billion in financing.

Tax Reliefs & Personal Finance Benefits

- Relief for **childcare fees** raised to cover registered day-care or transit centres for children up to age 12 (previously capped at 6 years old).
- Relief for **disabled children's medical care** increased from **RM6,000 to RM10,000**.
- **Life insurance/takaful relief** (RM3,000) now extended to cover children's policies.
- **Vaccination relief** expanded to include all vaccines registered by the Ministry of Health.
- **Full stamp duty exemption** for first-home purchases up to **RM500,000** extended until **31 December 2027**.
- RM2,500 relief for EV charging facilities, composting machines, food waste grinders, and household CCTV — claimable once between 2026-2027.
- RM1,000 special relief for entrance fees to local tourist attractions and cultural programmes.

Support for SMEs and Entrepreneurs

- Government loan facilities and guarantees for entrepreneurs **increased to RM50 billion** (from RM40 billion).
- **RM2.5 billion** in microfinancing through BSN and Tekun Nasional.

• SJPP to guarantee up to 70% of financing for export-oriented mid-tier companies, total guarantees raised to **RM5 billion**.

• Halal business loans guarantee allocation doubled to **RM2 billion**.

• **100% income tax exemption** for new companies involved in food production (10 years), and 5-year exemption for existing companies expanding.

• **50% additional tax deduction** for AI and cybersecurity training for SMEs.

• **RM60 million** via MATRADE Market Development Grant for SME exports to Africa, Latin America, and Central Asia.

• **RM500 million** in EXIM Bank soft loans for companies affected by global trade tensions.

• **RM10 million National Spin-Off Fund** for commercialisation of public university R&D.

Gig Workers, Employees & Human Capital Development

• **i-Saraan Plus** offers gig workers matching EPF contributions up to **RM600 per year** or **RM6,000 lifetime**.

• **Self-Employed Social Security Scheme** contributions subsidised by 70% (year one) and 50% (year two) for gig workers.

• EPF **Hajj withdrawal limit** increased from RM3,000 to RM10,000.

• **RM150 million** BSN financing for entrepreneurs aged 30 and below.

• **RM12 million** via SME Corp's Tunas Usahawan Belia Bumiputera programme.

• B2 motorcycle licence fees covered for low-income youths joining delivery services.

Healthcare, Education & Social Protection

• **MySalam Scheme Extended:** Continued protection in 2026 for low-income households covering hospitalisation and critical illnesses.

• **RM120 million yearly** for PTPTN free education scheme, helping 5,800 students from poor families.

• First-class graduates from low- and middle-income families exempted from PTPTN repayment (~6,000 borrowers).

• Private hospitals allowed to set up tax-exempt Hospital Welfare Funds; donors qualify for tax deductions.

• GPs' consultation fees revised from RM10-RM35 to RM10-RM80.

Consumer Protection & Digitalisation

• **Consumer Protection Act** to be amended to include Lemon Law elements.

• **MyDigital ID** to expand across financial, telecommunications, e-commerce, and healthcare sectors.

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